



DEPARTMENT OF PERSONNEL AND ADMINISTRATION

Executive Director of Department of Personnel and Administration

COST ACCOUNTING FOR PUBLIC WORKS PROJECT

1 CCR 109-1

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

1.00 PURPOSE, STATUTORY AUTHORITY, RESPONSIBILITY, APPLICABILITY, AND DEFINITIONS

1.01 Purpose

The purpose of this Cost Accounting for Public Works Projects Rule is to set forth policies and procedures for state agencies concerning cost accounting for public works projects.

1.02 Statutory Authority

Title 24, Article 16, C.R.S. (Public Works Act of 1981)

Title 24, Article 92, C.R.S. (Public Works Construction)

1.03 Responsibility

It is the responsibility of the chief executive officer of each state agency to insure compliance with this Cost Accounting for Public Works Projects Rule.

1.04 Applicability

This rule is applicable to all state agencies

1.05 Definitions

Contract - Any agreement for public works for a fixed or determinable amount duly awarded after advertisement and competitive bid.

Cost - The total cost of labor, materials, provisions, supplies, equipment rentals, equipment purchases, insurance, supervision, engineering, clerical and accounting services, the value of the use of equipment, including depreciation, owned by a state agency, and reasonable estimates of other administrative costs not otherwise directly attributable to the project which may be reasonably apportioned to such project in accordance with generally accepted accounting principles and standards.

Direct Costs - Those costs that can be specifically and readily identified with a state agency program or activity.

Indirect Costs - A cost incurred by a state agency that cannot be specifically and readily identified with a cost objective and therefore must be allocated on some basis of imputed benefit.

Public Work - Any construction, alteration, repair, or improvement of any land, building, structure, facility, road, highway or other public improvement suitable for and intended for use in the promotion of the public health, welfare, or safety; or maintenance programs for the upkeep of public roads, highways, or bridge

structures; except that 'public works' does not include routine maintenance that is not definable by a stop or start time or by geographical limits.

State Agency - A department, division, section, unit, commission, board, bureau, college, university, or institution in Colorado State Government created by law, executive order, or any other authority.

State Financial System - The official financial system for the State of Colorado as prescribed by the State Controller.

1.20 POLICY

It is the policy of the State of Colorado to establish standardized cost accounting procedures for all public works projects.

1.30 STATE AGENCY PROCEDURES

Cost information shall be compiled and preserved on all State public work projects where an appropriation or expenditure of funds may be reasonably expected to exceed \$25,000 in any fiscal year.

Whenever a state agency undertakes a public work project by any means or method other than a contract awarded by competitive bid, an accurate record of the cost of the project shall be maintained. All costs incurred shall be allocated to the public work project based on generally accepted cost accounting principles. Project direct costs shall be allocated to the project on a reasonable basis relating directly to the benefit or value added to the project. Project indirect costs shall be allocated from indirect cost pools on a reasonable basis consistent with that of other similar or related projects.

If indirect costs are not recorded on the State Financial System as part of the capitalized cost, a separate record of all project costs, including the indirect costs, shall be maintained. All cost information compiled shall be considered a matter of public record and will be maintained for at least six years after completion of the project.

1.31 Public Work Projects Must Remain Intact

It is unlawful for any person to divide a public work project into two or more separate projects for the sole purpose of circumventing this. Cost Accounting for Public Works Projects Rule.

1.32 Statutory Penalty

If any state agency is found to be in violation of or in material non-compliance with this Cost Accounting for Public Works Projects Rule, a written report of such violation or material non-compliance shall be forwarded to the Legislative Audit Committee for their information and action.

1.40 ADMINISTRATIVE HARDSHIP

Should any of the provisions of this rule create undue administrative or financial hardship on any state agency, a written request for exemption and/or alternative policy shall be submitted by the state agency's chief fiscal officer through the state agency's chief executive officer to the executive director of the Department of Personnel.

Editor's Notes

History